

SAMPLE FINANCIAL DOCUMENT

For testing the NiveshRakshak AI document simplifier • Fictional example only

Important: This is an invented practice document, not a real offer or legal agreement. All names, figures, and terms are fictional. Do not use it to make a real financial decision.

Student Personal Loan — Illustrative Terms and Conditions

This document summarizes sample terms for a fictional unsecured personal loan offered by Example Finance Ltd. ("the Lender") to an eligible applicant ("the Borrower"). Approval is subject to identity verification, income assessment, and the Lender's internal credit policy.

1. Key commercial terms

Item	Illustrative term
Principal amount	■50,000
Annual interest rate	18% per annum, on a reducing-balance basis
Repayment period	12 monthly instalments
Processing fee	2% of the principal amount, plus applicable taxes
Late payment charge	■500 per missed instalment, subject to applicable law and contract terms
Prepayment	May be permitted subject to the Lender's written policy and any disclosed charges

2. Repayment and allocation of payments

The Borrower shall repay the outstanding principal and applicable interest through monthly instalments on the due date communicated by the Lender. Payments received may first be applied to applicable charges, then accrued interest, and thereafter principal, to the extent permitted by the governing agreement and applicable law. The actual instalment amount and total repayment must be disclosed in the final repayment schedule before acceptance.

3. Default and consequences

A payment not received by its due date may constitute a payment default. Following a default, the Lender may issue reminders, assess disclosed charges, and take other recovery steps allowed under the executed agreement and applicable law. Any credit-bureau reporting must be accurate and carried out in accordance with applicable requirements. The Borrower should contact the Lender promptly if a payment difficulty arises.

4. Data, consent, and communications

The Borrower may be asked to provide identity, contact, and income information for eligibility and servicing purposes. Before providing information, the Borrower should read the privacy notice and understand the purposes, retention period, recipients, and available consent choices. The Borrower should not disclose an OTP, PIN, password, or card security code to a caller or message claiming to be the Lender.

5. Cancellation, complaints, and verification

Any cancellation window, refund treatment, and prepayment process must be confirmed from the final agreement and official product disclosures. Questions or complaints should be raised using contact information independently obtained from the institution's official website or verified documents—not solely from a link in an unsolicited message. The Borrower should compare the annual percentage cost, fees, penalties, repayment schedule, and lender identity before accepting.

6. Acceptance

Acceptance should occur only after the Borrower has received and reviewed the final agreement, the complete fee schedule, and the repayment schedule. Any term that is unclear should be explained in writing before the Borrower signs or authorizes disbursement.

Practice prompts for the simplifier: Identify the loan amount, interest rate, fees, late-payment consequences, data/privacy considerations, and actions the reader should take before accepting. Flag terms that need confirmation rather than inventing missing details.